

PART-I MCQ

Question 1

→ (b)

Question 2

→ (c)

Question 3

→ (a)

Question 4

→ (b)

Question 5

→

Question 6

→ (c)

Question 7

→ (c)

Question 8

→ (b)

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Test Corporate Law

Question 1(a)

Provision

As per relevant provision of Companies Act, 2013, The relationship b/w two Co companies having same holding companies (fellow subsidiary) are related party to each other.

Conclusion

In given case D Pvt Ltd & E Pvt Ltd are fellow subsidiary of ABC private Ltd. Hence D Private limited & E private limited are treated as a related party.

Question 1(b)

As per name clause of Companies Act, 2013, A Co can change its name:—

- (a) ~~Voluntary~~ any time after Incorporation or
- (b) On the order of Co

Central Govt can give order to company to change its name when a registered trademark or registered name complain to Registrar Director about identical or resemble name within 3 yrs of company Incorporation.

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If co. fails to change its name within 90 days of order then central government choose a name for company.

Conclusion

The contention of Mr D is wrong, the name is nearly resemble & identical or

The stipulated time period is not of two year for making complaint, it is 3 yrs of stipulated time period.

(ii) → UJIA Infra Project Private Limited, Company has to change its name before 11 August 2024 otherwise central government change the name.

Question 1(c)

PROVISION

As per relevant provision of companies Act 2013, company will prospectus ~~are~~ ^{have} misstated misleading information then Investors who rely on these information have remedies against the company: —

- (a) Treat the contract agreement as void
- (b) Claim the damages (Refund & Interest & cost)
- (c) Rescind the contract.

Conclusion

yes Mr Alok have remedies against company
To rescind the contract, get claims of
damages incurred due to contract.

→ ~~Firm~~ Circumstances when Experts are not
liable

a) Expert withdrawn his written consent
before copy of prospectus delivered to ROC.

(b) Expert give reasonable belief that he is unaware
about misleading information.

(c) Expert give reasonable belief that ~~the~~ prospectus
is true.

Question 2(a)

Bonus share are issued by undivided profit
having an identity & value of capable bought and
sold. Renunciation of Bonus is Restricted.
Before Issue Bonus share co. must meet following
legal pre-requisites:

a) Auth Authorized by Article of Association,
If not authorized, then Amend AOA.

(b) Get an approval from Board of Directors
and pass ordinary resolution.

(c) no default on statutory dues

(d) Bonus shares are issued on fully paid up equity shares

(e) no default on the payment of interest

(f) Bonus must be issued from Free reserve, Security premium Account.

Question. 2(b)

(a) — 1 Provision

As per provision of the companies act, 2013, the loan from Banking institution, Non-Banking Financial Institution, Housing Finance are not treated as deposits.

Conclusion

The contention of Mr. Taar, the director are not correct as he take a term loan from Banking Institution which not a deposits.

(b) — 1 Government company which is eligible to accept deposit under section 76 of companies act, 2013 can accept deposits from public of 35% of paid up share capital, security premium Account &

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Free Reserve in any ratio from member & public

Conclusion

Hence, given statement is wrong government company can accept deposit. more 25% from public but not more than 35%.

Question 4(b)

PROVISION

As per relevant provision of acceptance of Deposits of the Companies Act, 2013, ~~If co. Negative list see Rule 26(c)~~ states that If a co. recd money from an employee of company upto ∇ his annual salary & ∇ nature is of ∇ non-Bearing Interest non- ∇ interest bearing security then ∇ it is not a deposit.

Conclusion

Mr. Romit is an employee of PDR Trading private limited, he gave amt of 530,000 more than his annual salary. Hence it is treated as a deposits.